



# AI in Talent Management

## Redefining the HR Landscape

### Case Study

This case was written by **Angshupriya Datta** and reviewed by **K. Bhagyalakshmi**, Amity Research Centers Headquarter, Bangalore. It is intended to be used as the basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The case was compiled from published sources.

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## AI in Talent Management: Redefining the HR Landscape

### Case Study

*"All too often, as we talk about AI and generative AI, we jump to the conclusion of job loss. One of the findings from our report is that it's much more a story of augmentation. . . . how can we help augment professions and help free up time so that it can then be repurposed?"<sup>1</sup>*

– McKinsey

*"All too often as a society, we tend not to think about the things that can go wrong. We gravitate toward efficiencies and get excited about the potential that new technology brings to an organization."<sup>2</sup>*

– John Farley, MD, Cyber Liability Practice, Gallagher

In the 21<sup>st</sup> century, business executives had to deal with a great deal of change, including varying recruitment trends across industries, emerging remote and hybrid work practices, fluctuations in the quantity and kind of job switches, and shifting generational preferences. However, none of that came close to the revolutionary change that artificial intelligence (AI) was bringing about in terms of how businesses operated in various industries and communities. The workplace was evolving so quickly that it was critical to recognise that the outdated manuals—particularly those pertaining to talent management—needed a change. It was necessary to adapt to the situations or the company was bound to lag behind.<sup>3</sup> 35% of companies stated in 2022 that they were utilising artificial intelligence technologies in some capacity within their enterprises. It was likely to grow rapidly in the upcoming years, reaching a projected \$1.59 trillion market by 2030.

Earlier during mass recruitments in companies HR personnel would be sending emails with document lists to employees, gathering and processing information received from them for hiring, performing a lot of data entry, filling out forms, and spending extended in-person meetings responding to inquiries about company benefits among other tasks. With AI there was an automated onboarding process. In addition to gathering the required data and creating and sending digital paperwork, virtual assistants could help new hires with the orientation process and their rights and benefits. It guaranteed a seamless onboarding process and saved

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<sup>1</sup> Saurabh Sanghvi, "McKinsey quote of the day", <https://www.mckinsey.com/featured-insights/quote-of-the-day/september-27-2023>, September 27<sup>th</sup> 2023

<sup>2</sup> Thibodeau Patrick, "The human problem with generative AI in HR", <https://www.techtarget.com/searchhrsoftware/feature/The-human-problem-with-generative-AI-in-HR>, October 25<sup>th</sup> 2023

<sup>3</sup> Roslansky Ryan, "Talent Management in the Age of AI", <https://hbr.org/2023/12/talent-management-in-the-age-of-ai>, December 4<sup>th</sup> 2023

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time by enabling fast information access for users. Employees felt more supported and relied less on HR staff for routine inquiries.

AI had advanced significantly in a number of industries, and HR was no exception. As businesses adopted automation and data-driven decision-making, there was much discussion about the future of AI in the workplace. Would human resources be completely replaced by AI or would it only improve their abilities?<sup>4</sup>

## Talent Management in the Digital Era

Talent management was the science of leveraging strategic human resource planning to increase business value and enable businesses and organisations to achieve their objectives. 'Talent Acquisition, Onboarding & Engagement, Learning & Development, Performance Management, Succession Planning, and Workforce Planning' were the primary components of Talent Management.<sup>5</sup> (**Exhibit I**). Talent retention was a challenge for organisations. The U.S. Bureau of Labour Statistics reported that in August 2022, 4.2 million individuals left their jobs willingly. There were 10.1 million job opportunities at the same time. With trends like the 'Great Resignation' and 'quiet quitting' it was evident that traditional methods of attracting exceptional talent was not working in the intensely competitive market.<sup>6</sup>



Source: Javeria, "Breaking Down the 6 Components of Talent Management that Actually Work", <https://draup.com/talent/blog/breaking-down-the-6-components-of-talent-management-that-actually-work/>, February 28<sup>th</sup> 2023

In recent times, most astute businesses were beginning to see jobs as a set of abilities and responsibilities rather than focusing only on titles. They were also trying to figure out how those attributes would change as artificial intelligence developed. It would be easy to determine which jobs were more likely to be automated if jobs were viewed as a collection of

<sup>4</sup> "The Role of Artificial Intelligence in HR and Talent Management: Friend or Foe? ", <https://www.stantonchase.com/insights/blog/the-role-of-artificial-intelligence-in-hr-and-talent-management-friend-or-foe>, May 2023

<sup>5</sup> "AI and its Role in Talent Management", <https://www.skills caravan.com/post/ai-and-its-role-in-talent-management>

<sup>6</sup> Kim-Schmid Jessica and Raveendhran Roshni, "Where AI Can — and Can't — Help Talent Management", <https://hbr.org/2022/10/where-ai-can-and-cant-help-talent-management>, October 13<sup>th</sup> 2022

tasks. It did not mean that such jobs would become extinct. Rather employees should be trained to handle increasingly intricate jobs and acquire people skills—like teamwork and communication—that AI could not automate. Seeing occupations as activities rather than titles enabled executives to pinpoint the competencies that their staff needed to develop in order to remain adaptable and competitive in the AI era.

One of the biggest consumer goods companies in the world, Unilever, had long redefined positions as a set of competencies. The change allowed them to develop opportunities that employees might not have been considered for otherwise, giving rise to a more vibrant internal talent marketplace. Instead of being bound by set titles and roles, Unilever's cutting-edge employment model, U-Work, enabled workers to move between a variety of assignments based on their skills. U-Work employees, also referred to as 'U-workers,' were free to pursue other interests during downtime, such as starting their own company or spending more time with their families. That gave workers flexibility and made the company more agile.<sup>7</sup> More people in the digital age were opting for freelance work rather than engaging in full time opportunities. Hence there was a need to restructure the hiring practices for the contingent workers.<sup>8</sup>

According to research, since 2015, the skills required for jobs had changed by 25%. AI was predicted to raise that percentage to at least 65% by 2030. It would be nearly impossible for a one-time learning experience—like a degree or a two-year employment—to last a lifetime, therefore leaders had to prioritise and expedite staff development. Businesses would need to adopt a 'training to promote' mentality and upskilling that would help employees to transition into new roles, as well as a 'training to hire' perspective through onboardings and apprenticeships. IBM, a longtime pioneer of the skills-first approach, established a framework based on course learning and on-the-job training when it started an apprenticeship programme to help employees acquire the skills necessary for future positions at the company. As of 2023, they employed 1,000 apprentices in 35 fields, including design, data science, software development, and cybersecurity. Because of the program's success, IBM promised to provide \$250 million by 2025 to its Registered Apprenticeship and other training initiatives.

Genpact also developed a scalable, AI-enabled learning platform that allowed it to leverage the expertise of Genpact specialists at scale and offered individualised reskilling pathways to its more than 115,000 employees worldwide. It curated training sessions on the fundamentals of GenAI, including prompt engineering and how big language models could be used for their clients, as soon as it became apparent that everyone needed this talent. It achieved an astounding threefold growth in learning since 2019.<sup>9</sup> In the age of technology, organisations required employees with digital skills like data analysis, and organisations would need to train them to acquire those skills. In the digital age, organisations could recruit from all over the world thus building a diverse workforce. Talent management strategies would have to be changed accordingly to cater to a global workforce and for cross-cultural collaboration.

Data analytics were used to gain a deeper understanding of workforce trends, performance and employee engagement. That helped in identifying skill gaps and arranging for training programmes accordingly.<sup>10</sup>

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<sup>7</sup> "Talent Management in the Age of AI", op.cit.

<sup>8</sup> Tashtboland Reza, "Talent Management in the Digital Age: Reshaping the Workforce Landscape", <https://rezatashtboland.medium.com/talent-management-in-the-digital-age-reshaping-the-workforce-landscape-650a8ce315ef>, December 26<sup>th</sup> 2023

<sup>9</sup> "Talent Management in the Age of AI", op.cit.

<sup>10</sup> "Talent Management in the Digital Age: Reshaping the Workforce Landscape", op.cit.

The prospect of using AI to lessen workloads and increase productivity motivated professionals. According to Microsoft's Work Trend Index, 70% of workers wanted to reduce their workloads by giving as much work as possible to AI. Employees would have more time for activities requiring human creativity and planning if appropriate AI solutions were in place. It was possible that a whole new class of positions at businesses would emerge that would focus on the concept of 'AI transformation' to pick out the best AI tools and workforce strategies. There would be a tremendous competition for that talent, and it had already started.<sup>11</sup>

## **Will AI Revolutionise Talent Management?**

AI focused on building intelligent machines that behaved and thought like people.<sup>12</sup> A new generation of AI talent management solutions could help businesses hire better people more quickly, develop employees more significantly, and increase retention through higher levels of employee engagement.<sup>13</sup> AI could support talent management in a variety of methods.<sup>14</sup> (Annexure I). Although AI could help managers alleviate personnel management issues by streamlining and expediting procedures, putting AI into practice also presented a distinct set of difficulties that demanded careful consideration. Prior to utilising these tools, executives would need to understand how and where AI could give their organisation a competitive advantage, as well as how to foresee and address major implementation obstacles. The three key stages of talent management were recruitment, development and retention. AI could be used in all stages but it came with its own pros and cons.

### **Recruitment**

Employee attraction using traditional methods could be difficult, ineffective and biased. Corporate recruiters drafted job advertisements, reviewed applications, and set up interviews. They were labour-intensive procedures that caused delays in hiring new employees and, eventually, resulted in the loss of qualified applicants. Although manual screenings could be rife with unconscious biases, biased phrasing in job ads could also reduce applications from historically marginalised groups, such as women and racial minorities. Furthermore, firms frequently used uneven procedures to match applicants to positions other than the one they first applied for, which resulted in missed chances for firms seeking to fill positions as well as individuals. AI could assist in the following ways: it could provide more accurate job listings that were properly advertised to potential candidates; it could quickly screen applications to find qualified individuals; and it could provide procedures that tried to account for human biases.<sup>15</sup> AI tools could find the perfect fit between talent and opportunity by using data to inform their decisions, which would lead to hiring outstanding people who could completely change the way the company functioned.<sup>16</sup> For instance, the platform Pymetrics used AI in its candidate assessment tools thus reducing bias in the screening process. Additionally, the technology automatically re-engaged promising applicants by directing 'silver medalist' individuals to other suitable employment openings, thus saving recruiters time.<sup>17</sup> Pymetrics

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<sup>11</sup> "Talent Management in the Age of AI", op.cit.

<sup>12</sup> "AI and its Role in Talent Management", op.cit.

<sup>13</sup> "Where AI Can — and Can't — Help Talent Management", op.cit.

<sup>14</sup> "AI and its Role in Talent Management", op.cit.

<sup>15</sup> "Where AI Can — and Can't — Help Talent Management", op.cit.

<sup>16</sup> "The Role of Artificial Intelligence in HR and Talent Management: Friend or Foe?", op.cit.

<sup>17</sup> "Where AI Can — and Can't — Help Talent Management", op.cit.

had become an integral part in screening candidates for many top-notch companies including Unilever, LinkedIn, and Accenture.<sup>18</sup>

Even though AI tools could be quite useful in the hiring process, some contended that depending only on them could result in the rejection of competent applicants who did not match pre-established algorithms. The human element of evaluating cultural fit and soft skills could be missed if AI was used exclusively, which might lead to a loss of diversity and creativity in the workforce. To guarantee an equitable and inclusive hiring process, it was critical to find a balance between the use of AI tools and human judgement.<sup>19</sup> Dr. Dan Harrison (Harrison), the CEO and founder of Harrison Assessments, felt it was best to stop using AI in hiring. He remarked, “When used for screening or hiring decisions, there is increased legal liability, questionable benefits over systems designed for assessment, and greater potential for a negative candidate experience and employee turnover. For example, it could penalize women candidates because they are statistically more likely to leave the workforce to care for their children. Or AI could unintentionally have a bias against older people simply by penalizing people with too much experience.”<sup>20</sup>

## **Employee Development**

Providing chances for continuous learning and development to employees was a crucial component of talent management. Ensuring that employees had access to suitable opportunities and were motivated were the two major challenges in the field of employee development. In most cases there was little information available to employees about such opportunities, and it was difficult for organisations to produce high-quality content quickly enough to meet the needs of their workforce. AI could provide immediate fixes for those problems.<sup>21</sup>

AI could assist HR departments in designing individualised training programmes. It would enable staff members to improve, adapt, and realise their full potential through skill evaluation, adaptive learning, tailored plans, and continuous development assistance. It would lead to better employee happiness and engagement as well as increased organisational success. Learning platforms with AI capabilities could offer individualised training programmes based on each employee’s requirements and learning preferences. AI could evaluate workers’ abilities and competencies via online assessments or simulations, enabling the creation of training and development programmes that took into account of individual’s objectives, job needs, and performance gaps.<sup>22</sup> For instance, HR managers could quickly create microlearning content with EdApp, an AI-based learning management system, and track learner progress and content revision based on analytical insights. EdApp also offered employees personalised learning recommendations based on performance and engagement analytics.<sup>23</sup> Since AI systems were unable to form bonds with people, offer emotional support, or comprehend each employee’s particular learning needs, mentoring and coaching could become less human

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<sup>18</sup> Shah Riddhi, “Pymetrics – Using Neuroscience & AI to change the age-old hiring process”, <https://d3.harvard.edu/platform-digit/submission/pymetrics-using-neuroscience-ai-to-change-the-age-old-hiring-process/>, December 4<sup>th</sup> 2019

<sup>19</sup> “The Role of Artificial Intelligence in HR and Talent Management: Friend or Foe?”, op.cit.

<sup>20</sup> Power Rhett, “Where AI Can And Can’t Help In Talent Management”, <https://www.forbes.com/sites/rhettpower/2023/08/13/where-ai-can-and-cant-help-in-talent-management/?sh=5b086174160f>, August 13<sup>th</sup> 2023

<sup>21</sup> “Where AI Can — and Can’t — Help Talent Management”, op.cit.

<sup>22</sup> “The Role of Artificial Intelligence in HR and Talent Management: Friend or Foe?”, op.cit.

<sup>23</sup> “Where AI Can — and Can’t — Help Talent Management”, op.cit.



as a result of AI-driven learning. For an all-encompassing learning experience, a balanced strategy that blended AI-driven training with human interaction was required.<sup>24</sup>

## **Employee Retention**

To ensure that the employees who were hired and trained stayed on board, employee engagement was very crucial. According to a recent Gallup poll, 32% of American workers and 21% of workers worldwide reported feeling engaged at work. Because it was difficult to obtain precise engagement measures, employers frequently struggled to increase employee engagement. They also faced difficulty fostering wellbeing and preventing staff burnout. Numerous AI tools could assist in precisely and instantly capturing employee engagement metrics and in developing employee-focused well-being solutions. For example, the employee experience platform Microsoft Viva + Glint, measured staff engagement and well-being by fusing sentiment analysis with real collaboration data.<sup>25</sup>

## **Employee Engagement and Performance Management**

By utilising AI and AI-powered data analytics, HR professionals could find hidden patterns and insights that boosted employee engagement, improved performance management, and created an environment where every worker could flourish and realise their full potential. HR professionals could make decisions that were advantageous to the company and to the employees by using such information. AI technology could analyse employee data, including survey results and performance indicators, to give HR personnel insightful information. Finding patterns and trends in employee engagement could be facilitated using predictive analytics. It would support HR teams' proactive problem-solving and focused intervention efforts. However, there could be issues when AI algorithms were used alone to gauge worker performance because it was possible that they would not adequately account for the role that intangible traits or other elements play in an employee's success. When AI measures were overused without taking into account of unique situations, it might lead to biased assessments and demotivation among workers.<sup>26</sup>

## **Where AI Tools Could Go Wrong?**

AI-powered technologies were however not universally applicable. As AI was only as good as the goal it was optimised for, it could be built to optimise for a number of criteria. Leaders therefore had to take into account of potential obstacles in AI adoption and deployment if they were to fully realise AI's potential for talent management. The pain points were low confidence in AI decisions, Bias in AI decisions, Loss of Employee Privacy and Legal Risk.

People were reluctant to accept or trust decisions made by AI due to Algorithm aversion. According to research, individuals frequently disliked AI because they did not know how it operated, believed that it took decision-making authority away from them, and viewed algorithmic conclusions as reductionistic and impersonal. In fact, a study revealed that although computers could eliminate prejudice in judgements, workers thought algorithm-based HR choices were less equitable than those made by humans. One way to mitigate that was to promote algorithmic literacy. Teaching people how to utilise AI tools was one method

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<sup>24</sup> "The Role of Artificial Intelligence in HR and Talent Management: Friend or Foe?", op.cit.

<sup>25</sup> "Where AI Can — and Can't — Help Talent Management", op.cit.

<sup>26</sup> "The Role of Artificial Intelligence in HR and Talent Management: Friend or Foe?", op.cit.

to lessen their antipathy to algorithms. For example, talent management executives using AI technologies for decision-making could be trained in statistics so they felt comfortable evaluating algorithmic recommendations. Studies indicated that people were less opposed to algorithmic decisions when they had some influence on the final choice. Furthermore, in more objective domains, individuals were more likely to trust decisions made by AI. To increase trust in AI, it would be essential to carefully consider what kinds of talent management choices would be guided by AI and how HR experts would collaborate to co-create solutions using AI-driven recommendations.<sup>27</sup>

On the other hand, according to Flavio Villanustre, vice president of technology and global chief information security officer at LexisNexis Risk Solutions, employees could put too much trust in AI which could lead to future problems. Employees could start expecting human characteristics in AI.<sup>28</sup>

Although AI could lessen prejudice in judgement, it still had some bias. Most AI systems were trained on pre-existing datasets, which could have biases from the past. Apart from the controversial AI tool used by Amazon to discriminate against female candidates, there were other instances of bias in AI, such as sourcing algorithms that intentionally targeted 85% of women for working as grocery cashiers and 75% of Black people for jobs at taxi businesses. Applications of AI in talent management ran the risk of producing results that went against organisational ethical norms and ideals due to AI's susceptibility to bias. That would eventually lower employee engagement, morale, and productivity.

Developing internal processes for recognising and resolving bias in AI was one way to combat this challenge. To mitigate bias in AI, it was essential to establish guidelines for the transparency of AI judgements within an organisation. It was also essential to modify internal processes to determine the fairness of algorithmic outputs. Additionally, leaders had to exercise caution when establishing fairness standards that ignored equity, especially when it came to marginalised groups. In order to overcome this, leaders would have to think about including factors like gender and ethnicity into algorithms and proactively defining distinct standards for various groups in order to counteract ingrained prejudices. More diverse engineering teams would produce less biased AI, according to research. Organisations could minimise AI bias by utilising varied viewpoints in their talent management role by cultivating diversity across the AI design and deployment stages.<sup>29</sup> According to research 79% of employers used AI to recruit employees but it was not a foolproof solution and could lead to discriminatory hiring.<sup>30</sup>

AI technologies were being used by organisations to track personnel in real time. Such tools had the potential to seriously compromise employee privacy if they were not used properly. They could also cause stress, burnout, poor mental health, and a diminished sense of autonomy in workers. According to reports, the COVID-19 pandemic had significantly increased the use of such tracking technology by employers. Over 50% of large businesses deployed AI systems for tracking. Being open and honest about the usage and goal of tracking technologies was the answer. Over the past ten years, there had been a rise in the proportion of employees that felt comfortable with specific forms of employer surveillance, according to Gartner Research. When employers provided an explanation for tracking, acceptance increased

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<sup>27</sup> "Where AI Can — and Can't — Help Talent Management", op.cit.

<sup>28</sup> "The human problem with generative AI in HR", op.cit.

<sup>29</sup> "Where AI Can — and Can't — Help Talent Management", op.cit.

<sup>30</sup> "Where AI Can And Can't Help In Talent Management", op.cit.



significantly (from 30% to 50%), and the effect was most pronounced when organisational leaders openly addressed the rationale behind the usage of such tools.

Research suggested that employees were more receptive to surveillance when it was done entirely by AI. Employees could obtain constructive criticism about their own behaviour without fear of a poor performance review due to technology tracking. Tracking tools diminished privacy and lowered intrinsic motivation when they were used primarily for monitoring as opposed to providing employees with information about their behaviours. Thus, the most important thing for executives to think about was whether tracking could improve employees' informational outcomes without creating issues with appraisal.<sup>31</sup> Many employees reported that AI surveillance impacted their mental health. Vijay Kumar Jamwal (Jamwal), Head of HR at Biz2X, felt such monitoring could stifle creativity and hinder learning experiences. Jamwal remarked, "Employees' perceptions of being watched can also affect their approach to learning. Learning out of genuine curiosity and interest is significantly different from learning because one feels watched and evaluated. An environment of constant monitoring can discourage employees from making mistakes, which are essential for the learning process."<sup>32</sup>

According to the American Bar Association, companies could be held responsible for inadvertent job discrimination caused by AI-driven systems. The legislation at the state, federal, and international levels pertaining to the rights and obligations of employers and employees in relation to AI were still evolving. The main goal of the American approach to AI regulation, which was still in its infancy, was to make AI more transparent, accountable, and equitable. Two national level frameworks had been started to control AI use in organisations: The Algorithmic Accountability Act of 2022 and the National AI Initiative Act, which had become a law. However, states were leading the way in implementing AI legislation, so it would be critical for executives to stay up to date on any changes, particularly if they were running multi-location enterprises. Creating a proactive risk management programme was another method. The broader policy environment that controlled the application of AI to delicate personnel choices was still developing. However, companies looking to use AI tools to improve talent management would have to keep a close eye on any new laws that would be passed and implement proactive risk management procedures, like building AI systems with suitable controls at different phases of the model-development process. Excellence in talent management played a critical role in sustaining competitiveness, particularly in the wake of the Great Resignation. Leaders would have to proactively think about how AI solutions that targeted talent management pain points could deliver impact.<sup>33</sup>

AI's potential function in HR was intricate and multidimensional. Although AI had the ability to completely transform HR procedures by improving decision-making, automating monotonous processes, and delivering data-driven insights, it also raised questions about potential biases, exclusion, and the loss of the human touch. Organisations would have to strike the correct balance between automation and human interaction in order to fully realise the benefits of AI in HR, making sure that AI was utilised as a tool to supplement HR experts rather than as a replacement. According to HR experts, HR could confidently embrace the future by utilising AI technology in a responsible and ethical manner, which would spur innovation, improve

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<sup>31</sup> "Where AI Can — and Can't — Help Talent Management", op.cit.

<sup>32</sup> Srivastava Samriddhi, "Understanding the downsides of AI monitoring: Balancing privacy and productivity", <https://www.peoplesmatters.in/article/technology/understanding-the-downsides-of-ai-monitoring-balancing-privacy-and-productivity-39276>, October 20<sup>th</sup> 2023

<sup>33</sup> "Where AI Can — and Can't — Help Talent Management", op.cit.

employee experiences, and support organisational success.<sup>34</sup> AI could not be used for tasks that called for subtlety, empathy, or compassion. However, it worked incredibly well for gathering data or providing clear recommendations based on particular inputs.<sup>35</sup> Could AI be a friend to HR that augmented human capabilities, or a foe with ability to replace them?

### Annexure I

#### Impact of AI on different Components of Talent Management

| Talent Management Components              | Impact of AI                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|-------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Talent Acquisition                        | Artificial intelligence (AI) can significantly impact talent acquisition strategies for companies, helping to streamline and optimize the recruitment process.                                                                                                                                                                                                                                                                                                                                          |
| Resume Screening and Candidate Matching   | AI can analyse resumes and other candidate data to automatically screen and shortlist candidates based on predefined criteria. AI powered resume screening tools can save time and effort in the initial screening process, ensuring that only the most relevant candidates are considered for further evaluation. AI can also analyse data on skills, experience, and other attributes to match candidates with job requirements, increasing the efficiency of candidate selection.                    |
| Sourcing and Talent Pool Management       | AI can help identify potential candidates by analysing various data sources, such as social media profiles, online job boards, and professional networking sites. AI powered talent sourcing tools can automate the process of identifying and engaging with potential candidates, helping recruiters build and manage talent pools for future hiring needs. This can expand the reach of talent acquisition efforts and identify passive candidates who may not be actively seeking job opportunities. |
| Interview and Assessment Process          | AI can assist in the interview and assessment process by using natural language processing (NLP) and machine learning algorithms to analyse candidate responses and assess their skills, competencies, and cultural fit. AI powered interview and assessment tools can provide insights and recommendations for candidate evaluation, leading to more objective and consistent assessments.                                                                                                             |
| Candidate Experience                      | AI can enhance the candidate experience by automating routine tasks, such as scheduling interviews, sending personalized communications, and providing feedback. AI powered candidate experience tools can provide personalized and timely interactions, leading to a positive candidate experience, regardless of the outcome of the recruitment process. This can help enhance the employer brand and attract top talent.                                                                             |
| Diversity and Inclusion                   | AI can support diversity and inclusion initiatives in talent acquisition by identifying potential biases in job postings, resume screening, and candidate evaluation processes. AI powered diversity and inclusion tools can provide insights and recommendations to ensure fair and inclusive hiring practices, reducing bias and promoting diversity in the recruitment process.                                                                                                                      |
| Analytics and Data-Driven Decision Making | AI can analyse recruitment data to provide insights and recommendations for data-driven decision making. AI powered analytics tools can analyse data on recruitment metrics, such as time-to-fill, cost-per-hire, and quality-of-hire, to identify trends, patterns, and areas of improvement in the talent acquisition process. This can help recruiters make informed decisions and optimize their recruitment strategies.                                                                            |
| Onboarding and Engagement                 | A new hire's experience on their first day sets the stage (and their mind set) for the rest of their employment. Advanced technology can help create custom learning plans for individual employees from the very beginning itself.                                                                                                                                                                                                                                                                     |

<sup>34</sup> "The Role of Artificial Intelligence in HR and Talent Management: Friend or Foe?", op.cit.

<sup>35</sup> "Where AI Can And Can't Help In Talent Management", op.cit.

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|-------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Ease the administrative burden      | Automate delivery and receipt of necessary paperwork, company policies, and login information. AI can track which documents were read, capture electronic signatures once steps are completed, and remove the need for HR to follow up manually.                                                                                                                                                                                                                                                                                 |
| Allow onboarding to occur 24/7      | Digital assistants improve the process by guiding the new hire through all required onboarding steps and proactively suggesting next steps to ramp up quickly in their role.                                                                                                                                                                                                                                                                                                                                                     |
| Shorten time to productivity        | AI driven digital assistants can recommend job related-learning based on successful employees in similar roles and offer relevant content such as books and journal articles.                                                                                                                                                                                                                                                                                                                                                    |
| Learning & Development              | Artificial intelligence (AI) can revolutionize learning and development (L&D) initiatives in companies, transforming how employees acquire new skills, knowledge, and capabilities.                                                                                                                                                                                                                                                                                                                                              |
| Personalized Learning Paths         | AI can analyse employee data, such as performance, skills, and learning preferences, to create personalized learning paths. AI powered learning platforms can recommend relevant learning resources, courses, and training programs based on individual employee needs, enabling customized and targeted learning experiences.                                                                                                                                                                                                   |
| Adaptive Learning                   | AI can dynamically adapt learning content and delivery based on an employee's progress and performance. AI powered adaptive learning platforms can assess an employee's strengths and weaknesses and provide tailored learning experiences to address their specific learning gaps. This can result in more efficient and effective learning outcomes.                                                                                                                                                                           |
| Content Curation and Recommendation | AI can analyse vast amounts of learning content, such as articles, videos, and courses, to curate and recommend the most relevant and engaging content for employees. AI powered content recommendation engines can continuously analyse employee preferences, job roles, and learning goals, and suggest personalized content, making learning experiences more engaging and effective. Skills Caravan provides access to Digital library with 15000+ resources curated from the "Best of Best" Content providers of the world. |
| Skill Assessment and Gap Analysis   | AI can assess employee skills and competencies through various means, such as online assessments, simulations, and performance data analysis. AI powered skill assessment tools can provide insights into employee's strengths and weaknesses and identify skill gaps. This information can then be used to design targeted learning interventions to bridge those gaps and improve employee performance.                                                                                                                        |
| Virtual Reality and Simulations     | AI can be integrated into virtual reality (VR) and simulations to create immersive and interactive learning experiences. AI powered VR and simulations can provide realistic scenarios, feedback, and performance evaluations, allowing employees to practice and apply new skills in a safe and controlled environment.                                                                                                                                                                                                         |
| Learning Analytics and Insights     | AI can analyse learning data, such as learning progress, engagement, and completion rates, to provide insights and recommendations for optimizing L&D programs. AI powered learning analytics tools can help L&D professionals track the effectiveness of learning initiatives, identify areas of improvement, and make data-driven decisions to continuously enhance learning outcomes.                                                                                                                                         |
| Personalized Coaching and Feedback  | AI can provide personalized coaching and feedback to employees to support their learning journey. AI powered coaching platforms can analyse employee performance data, provide feedback on strengths and areas for improvement, and offer coaching tips and recommendations for continuous learning and development.                                                                                                                                                                                                             |

|                                                  |                                                                                                                                                                                                                                                                                                                                                                                                 |
|--------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Employee Engagement and Motivation               | AI can enhance employee engagement and motivation in L&D initiatives by providing gamified learning experiences, virtual rewards, and recognition. AI powered gamification platforms can create interactive and competitive learning environments that motivate employees to actively participate in L&D programs and achieve their learning goals.                                             |
| Performance Management                           | AI can greatly impact performance management in organizations by automating and optimizing various aspects of the performance management process.                                                                                                                                                                                                                                               |
| Performance Tracking and Analysis                | AI can automatically track and analyse employee performance data, such as productivity metrics, goal progress, and feedback from managers and peers. AI powered performance tracking tools can provide real-time insights into employee performance, identifying strengths and areas for improvement, and helping managers make data-driven decisions for performance evaluations and feedback. |
| Performance Reviews and Feedback                 | AI can assist in performance reviews by analysing performance data and generating feedback summaries. AI powered performance review tools can provide managers with objective and data-driven feedback on employee performance, reducing bias and ensuring fairness in the evaluation process.                                                                                                  |
| Goal Setting and Alignment                       | AI can help in setting and aligning performance goals by analysing organizational objectives, departmental goals, and individual performance data. AI powered goal-setting platforms can provide recommendations on setting realistic and achievable goals, aligning them with broader organizational objectives, and tracking progress towards goal attainment.                                |
| Feedback Analysis and Sentiment Analysis         | AI can analyse feedback data from various sources, such as surveys, employee comments, and social media, to identify patterns, trends, and sentiment. AI powered sentiment analysis tools can help managers gain insights into employee perceptions, sentiments, and engagement levels, enabling them to address concerns and take appropriate actions for performance improvement.             |
| Performance Prediction and Early Warning Systems | AI can use historical performance data, combined with other relevant data, to predict future performance and identify potential performance issues. AI powered performance prediction and early warning systems can provide proactive alerts to managers, enabling them to take timely interventions and support employees in achieving their performance goals.                                |
| Individualized Development Plans                 | AI can analyse performance data and provide recommendations for personalized development plans. AI powered development planning tools can suggest relevant learning and development opportunities based on an employee's strengths, weaknesses, and career aspirations, supporting their continuous growth and development.                                                                     |
| Recognition and Rewards                          | AI can assist in identifying and recognizing high-performing employees through data analysis. AI powered recognition and rewards platforms can automatically identify and recommend employees for recognition based on their performance data, fostering a culture of appreciation and motivation.                                                                                              |
| Employee Engagement and Retention                | AI can contribute to employee engagement and retention by providing personalized performance feedback, development opportunities, and recognition. AI powered performance management tools can help create a positive and engaging performance management experience for employees, leading to higher motivation, job satisfaction, and retention.                                              |
| Succession Planning                              | Succession planning can be one of the trickiest parts of talent management. Leaders struggle to communicate succession plans to their teams and manage an effective process that can be fraught with bias.                                                                                                                                                                                      |
| Identify flight risk                             | Flight risk prediction draws on different attributes and behaviours to formulate its conclusions. The attributes include employee sentiment, an employee's mentors and influences, their number of years in a position, how                                                                                                                                                                     |

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|-------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                     | long they've been reporting to their current manager, their potential career path, their salary history, and whether and when they last received a raise. These all factor into a predicted attrition rate and offer leaders several useful cues and clues on how to retain their most valuable people.                                                                                                                                                  |
| Uncover most capable successors     | Leveraging data models to analyse employee behaviour and determine which employees are ready to step up based on cultural fit, leadership capability, and the accomplishments of past successors.                                                                                                                                                                                                                                                        |
| Workforce planning                  | Workforce planning involves determining an organization's current and future workforce needs and ensuring that it has the right talent in the right roles to achieve its strategic objectives. AI can be leveraged in various ways to enhance the effectiveness and efficiency of workforce planning processes.                                                                                                                                          |
| Demand Forecasting                  | AI can analyse historical and real-time data, such as sales data, customer demand, and production schedules, to forecast workforce demand accurately. AI powered demand forecasting tools can help organizations identify workforce needs and plan for the right number of employees with the right skills at the right time, reducing labour shortages or excesses.                                                                                     |
| Talent Supply Analysis              | AI can analyse internal and external data, such as employee data, labour market data, and competitor analysis, to assess the availability and quality of talent in the market. AI powered talent supply analysis tools can help organizations understand the talent landscape, identify potential talent gaps, and proactively plan for recruitment, development, or retention strategies.                                                               |
| Skill Gap Analysis                  | AI can assess the skills and competencies of the existing workforce to identify skill gaps and align them with future business needs. AI powered skill gap analysis tools can analyse employee data, learning and development history, and performance data to identify areas where additional training or development may be needed to close skill gaps and ensure workforce readiness.                                                                 |
| Workforce Scenario Planning         | AI can simulate different scenarios, such as changes in business strategy, market conditions, or regulatory requirements, and provide insights into the potential impact on the workforce. AI powered scenario planning tools can help organizations model and evaluate different workforce scenarios to make informed decisions about workforce planning strategies and resource allocation.                                                            |
| Workforce Segmentation and Analysis | AI can segment the workforce based on various factors, such as skills, experience, performance, and potential, to identify critical talent segments and develop targeted strategies for talent acquisition, development, and retention. AI powered segmentation and analysis tools can provide insights into the characteristics and needs of different employee segments, helping organizations tailor their workforce planning strategies accordingly. |

Compiled by the Author from: "AI and its Role in Talent Management",  
<https://www.skills caravan.com/post/ai-and-its-role-in-talent-management>